

et size is ₹25,000-30,000. "Anything above ₹15,000 can be called premium. The mid-segment is ₹5,000-10,000," says Raghavan.

Titan Eye Plus has had to bring down the number of stores to 832 in the face of aggressive expansion by Lenskart, the largest player with over 2,400 stores in India. "Our focus is on great customer experience, and I would rather do that with a smaller network," says Raghavan. Motilal Oswal's Trivedi says Lenskart has focused on value offerings with a wide product range. "Consumer convenience by adopting technology plays a role in adding users. It is critical for Titan to crack this," he says. Eyecare has reported steady growth through support from lenses and premium or international brands. "The more important shift is the focus on store productivity (both closures and renovations) rather than aggressive expansion. This indicates improving capital discipline and should support stable margins," says ICICI Securities' Menon.

Nowhere is premiumisation clearer than in fragrances. For a long time, it was really a deodorant market. In the last five years, the emergence of multiple D2C brands has changed the script. Ranju Mohan, FMCG veteran and founder of Ikigrow, a start-up specialising in air fresheners and personal care, says perfumes enjoy a premium imagery. "That has helped in the obvious shift to premiumisation," he says.

Post Skinn, Titan had launched Fastrack, a mass fragrances brand, in end-2019. Mohan says Skinn was positioned as the bridge between base pricing (MRP of around ₹1,200) and imported luxury offerings that are upwards of ₹5,000. "The sweet spot started at ₹2,000. It coincided with Gen Z making the move to perfume and slowing growth in deodorants," he says. Titan has perhaps not played fully to its strengths in the fragrances market in India

That said, this is a time-consuming business. Manish Gupta, CEO, Fragrances and Fashion Accessories, says for some of the top fragrances brands globally, it takes at least six years to launch a variant. The nearly ₹5,000 crore fragrances market is growing in double digits. This is a business where companies need to pick up trends to launch the right products. "Right now, beach and salt are trending," he says.

Another challenge in fashion accessories is the sudden end of a trend. During the pandemic, Gupta and his team looked at their backpack business, under Fastrack. "Commoditisation had set in. Laptop companies were giving away bags and there were too many players," he says. Eventually, they exited the space and

THE AUSTERITY IMPACT

The jewellery industry has been in a panic following the prime minister's austerity call. The Gem & Jewellery Export Promotion Council (GJEPC), responding to gold duty being raised from 6% to 15%, committed itself to promoting sales of lower cartage jewellery, encouraging consumers to exchange old gold for new to reduce import dependence and revamping the gold monetisation scheme to tap 25,000 tonnes of grandfather stock. The industry body said hiking import duties rarely curbs gold imports and instead leads to higher prices. "Such import duties often fuel smuggling and escalate export costs," it said in a statement. The bigger issue is exporters having to deal with bank guarantees

of ₹28-30 lakh per kg of duty-free gold from nominated agencies, impacting working capital and exports. GJEPC maintained the MSME manufacturers, who account for 80% of its membership, are already facing a liquidity crunch. Meanwhile, the stocks of listed companies got hammered. Titan Company was down 6% while others like Kalyan Jewellers and Senco Gold shed 9%. Understandably, the way forward looks uncertain. Ashok Sonthalia, CFO, Titan Company, told *BT* that his company had three-four months of inventory. "It is difficult to predict customer demand. About 50% of overall consumption comes from weddings, and we have to wait before anything can be said on the extent of reduction," he says.

| 21

